

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC, Complainant v. COSCO Shipping Lines Co., LTD, Respondent

**COMPLAINANTS' MOTION TO COMPEL INTERROGATORY RESPONSES AND
COMPLETE DOCUMENT PRODUCTION**

Complainant TZ SSE Buyer, LLC (“Complainant”), pursuant to 46 C.F.R. § 502.150, respectfully moves the Presiding Officer for an Order compelling Respondent COSCO Shipping Lines Co., Ltd. (“Respondent”) to provide complete responses to Complainant's First and Supplemental Sets of Interrogatories and Requests for Production of Documents. Despite repeated efforts by Complainant to resolve these deficiencies informally and through correspondence, Respondent has failed to provide meaningful answers to numerous relevant, non-privileged interrogatories and document requests that directly address issues central to this proceeding.

Below, Complainant sets forth each interrogatory and request for production at issue, Respondent’s full response, and the reasons why each response remains deficient.

I. Initial Interrogatories

A. Interrogatory No. 5: Complainant sought a detailed explanation of Respondent’s commercial, contractual, or operational relationship with Complainant and/or Laufer Group International in connection with the shipments and Charges alleged in the Complaint.

Original Response: Respondent objects to this Interrogatory as vague with respect to what is meant by Respondent’s “relationship” with Complainants and Laufer Group International and what is meant by “the shipments and Charges in the Complaint.”

Notwithstanding this specific objection and the General Objections set forth above, Respondent states as follows:

Respondent is a vessel operating common carrier (“VOCC”). Laufer Group International is a non-vessel operating common carrier (“NVOCC”). It appears that Complainants were the customers of Laufer Group International, who may have acted as consignee or notify party for shippers in the U.S. foreign trades.

Supplemental Response: COSCO reiterates its objections. Notwithstanding those objections, COSCO states that it has no general or consistent “relationship” with Laufer. Any relationship is an *ad hoc* matter determined by the facts and circumstances of a particular shipment.

Respondent’s response remains deficient because it fails to describe with any specificity the nature of its commercial, contractual, or operational relationship with Laufer Group International (“Laufer”) with respect to the shipments and charges referenced in Complainant’s Second Amended Complaint (“Complaint”), including those outlined in paragraphs 13 through 15. Laufer acted as an NVOCC that arranged the shipments referenced in the Complaint on behalf of Impact Products LLC and Safety Zone LLC (“Complainant’s Predecessors”) and received the charges that Respondent assessed in connection with those shipments—charges that were then passed through to Complainant’s Predecessors.

During discovery, Complainant provided Respondent with a detailed damages spreadsheet identifying the specific House and Master Bills of Lading, container numbers, and the associated demurrage, detention, per diem, and other accessorial charges at issue (“Charges”). See **Exhibit 1**. Respondent is in possession of the underlying bills of lading, invoicing records, and shipment data that identify Laufer’s role in connection with each shipment. Its continued refusal to describe that

relationship in meaningful detail—despite this clear and specific factual context—fails to satisfy its obligations under 46 C.F.R. § 502.141(e) and undermines Complainant’s ability to understand how and why these Charges were assessed.

II. Initial Requests for Production

A. RFP 3: Complainant sought documents—including invoices, bills of lading, service contracts, and related shipping records—concerning the shipments and Charges at issue in the Complaint.

Response: Respondent objects to this Request for Production to the extent that it seeks information already in Complainants’ possession, as Complainants would be in the best position to know what charges were levied and what they paid for the Charges about which they have filed the instant complaint. Respondent further objects to this Request as vague with respect to what is meant by “the shipments and Charges that You issued.” Respondent objects to RP3 as vague, overbroad and unduly burdensome, and to the extent that it is duplicative of documents already in Complainant’s possession, custody, or control. It is not possible without further information for Respondent to identify the shipments and other documents requested by this Interrogatory. Respondent also objects to this RPD3 to the extent it suggests Respondent issued anything directly or indirectly to Complainant. Subject to and without waiving any of its foregoing objections, Respondent will, to the extent it is able, produce non-privileged documents responsive to this request once the Parties have reached agreement on an ESI Protocol, stipulated to confidential treatment of commercially sensitive documents and a Protective Order has been issued.

Complainant provided Respondent with a detailed damages spreadsheet (attached as **Exhibit 1**), identifying the relevant House and Master Bills of Lading, container numbers, and the

associated Charges at issue. In addition, Complainant produced a substantial number of invoices that its predecessors received from Laufer. These invoices reflect the Charges assessed by Respondent, which Laufer passed through to Complainant's Predecessors and which include Respondent's Master B/L numbers.

Despite this information, Respondent has failed to produce documents that clearly correspond to the specific shipments at issue, including, but not limited to, all of the demurrage, detention, per diem and other accessorial invoices it issued to Laufer. Its objection that it cannot identify responsive documents without more detail is belied by its control over the very bills of lading and other records Complainant has identified. Respondent's vague suggestion that the information is already in Complainant's possession is unpersuasive under 46 C.F.R. § 502.141(e). While Respondent has, since answering this specific Request, produced a limited number of invoices related to Charges it issued to Laufer, many are still missing.

B. Requests for Production Nos. 7 and 8.

RFP 7 and 8: Complainant sought communications between and among Respondent, Complainant, Laufer Group International, drayage companies, and other third parties relating to the shipments and Charges at issue in the Complaint, including communications specifically relating to Respondent's assessment of those Charges.

Response to RFP 7: Respondent objects to this Request for Production on the grounds that it is overly broad and unduly burdensome with respect to its request for "any and all communications" involving literally "any ... Person" about anything relating to the shipments or Charges in the Complaint. Respondent further objects to this Request as vague with respect to what is meant by "the shipments and Charges referenced in the Complaint."

Notwithstanding these specific objections and the General Objections, *supra*, Respondent states as follows:

Respondent states that it will provide responsive documents when a Protective Order has been issued.

Response RFP 8: Respondent objects to this Request for Production on the grounds that it is overly broad and unduly burdensome with respect to its request for “any and all communications” involving literally “any ... Person” about anything relating to the shipments or Charges in the Complaint. Respondent further objects to this Request as assuming information not in evidence, as Complainants have not demonstrated that Respondent assessed any charges to Complainants.

Despite being provided with Complainant’s damages spreadsheet—attached as Exhibit 1—which identifies the relevant House and Master Bills of Lading, container numbers, and the Charges at issue, Respondent has failed to produce relevant email communications that specifically relate to those shipments. These RFPs seek targeted communications between Respondent, Laufer, Complainant’s Predecessors, and the trucking companies involved in the pickup and return of containers, specifically regarding the Charges referenced in the Complaint and Exhibit 1—and whether those Charges were assessed with any consideration of the congestion-related conditions and equipment shortages described in the Complaint.

Respondent’s objections are boilerplate and non-substantive, and its production has been wholly inadequate. Although Respondent claims it conducted ESI searches using certain terms and identifiers, the resulting production includes no communications that reference any of the B/L numbers or containers listed in **Exhibit 1**. Critically, Respondent has failed to identify any of the following:

- The email custodians whose data was searched,
- The email addresses or domains included,
- The systems or repositories used (e.g., internal servers, Outlook archives, cloud platforms), or
- Whether manual review, contextual filtering, or proximity analysis was used to identify responsive material.
- Whether any search logs, hit reports, or validation steps were conducted to assess the completeness of the search.

Moreover, although Respondent itself requested that Complainant provide an ESI protocol—which Complainant did on February 17—Respondent has not responded to the proposed protocol, nor have the parties reached any agreement on its terms. Complainant is entitled to receive communications that explain why these Charges were assessed—particularly during the extraordinary port congestion and severe equipment shortages alleged in the Complaint. At a minimum, Complainant is entitled to a detailed explanation as to why no relevant email communications were located and a clear description of the specific methods, custodians, and systems Respondent used in its search.

C. RFP 11: Complainant sought documents reflecting Respondent’s general practices, policies, or guidelines for assessing demurrage, detention, per diem, and yard storage Charges during the Relevant Period, including any internal standards or procedures that governed how such Charges were issued.

Response: Respondent objects to this Request for Production as overly broad with respect to its request for “any and all documents” that relate to Respondent’s assessment of any type of charges. Respondent further objects to this Request as vague with respect to what

is meant by “the Charges issued to Complainants.” Respondent objects to RPD11 as vague, overbroad and unduly burdensome and to the extent the request implies Respondent assesses “yard storage charges.” Respondent also objects to this Request to the extent it suggests Respondent issued anything directly or indirectly to Complainant. Subject to and without waiving any of its foregoing objections, Respondent will produce non-privileged documents responsive to this request once the Parties have reached agreement on an ESI Protocol, stipulated to confidential treatment of commercially sensitive documents and a Protective Order has been issued.

This request is narrowly tailored to obtain internal guidance, procedures, policies, or decision-making documents related to the assessment of the Charges at issue. Such documents are central to Complainant’s claim that these Charges were unreasonable under 46 U.S.C. § 41102(c), particularly in light of the extraordinary congestion and equipment shortages that rendered container retrieval infeasible.

Respondent has not confirmed whether any responsive internal documents exist—such as memos, policy directives, training materials, or procedural manuals—and has produced none. Its blanket refusal to provide these materials, based solely on the absence of an agreed ESI protocol, is especially inappropriate given that Complainant provided a proposed protocol on February 17 in response to Respondent’s own request. Respondent never responded to that protocol nor engaged in any effort to finalize it. Having invoked the need for such an agreement as a precondition to production, Respondent cannot now rely on its own failure to follow through as an excuse for withholding clearly relevant and responsive materials. These internal policy documents go to the heart of this dispute, and Respondent’s failure to produce or even identify them is a clear violation of its discovery obligations.

III. Supplemental Interrogatories.

A. Supplemental Interrogatory No. 4: Complainant sought a detailed description of the nature, scope, and duration of Respondent's relationship with Laufer in connection with the shipments and Charges identified in the Complaint.

Response: Respondent objects to this Interrogatory as vague with respect to what is meant by Respondent's "relationship" with Complainants and Laufer Group International and what is meant by "the shipments and Charges in the Complaint." Respondent further objects that this information is more readily available from Complainant's assignor Laufer Group International, into the shoes of which Complainant has stepped. Notwithstanding this specific objection and the General Objections set forth above, Respondent states as follows: Respondent is a vessel operating common carrier ("VOCC"). Laufer Group International is a non-vessel operating common carrier ("NVOCC"). It does not appear that Respondent had a designated relationship with Laufer, except that Laufer may have acted as a booking agent for Complainant and/or Complainant's suppliers and/or as a consignee or notify party on specific bills of lading issued by Respondent to the Shipper Party to the bill of lading and/or applicable service contract (which was never Laufer).

Respondent's answer to this Supplemental Interrogatory is deficient for the same reasons as its response to Interrogatory No. 5, which this follow-up was intended to clarify. Rather than meaningfully describe the nature, scope, and duration of its relationship with Laufer in connection with the shipments and Charges at issue, Respondent simply states that "it does not appear" that such a relationship existed. This is vague and ambiguous language.

Moreover, Respondent's assertion that there was no designated relationship with Laufer is contradicted by its own conduct. Respondent issued the very Charges at issue—including

demurrage, detention, per diem, and other accessorial fees—directly to Laufer. It is not credible for Respondent to claim uncertainty about its relationship with a party to whom it issued substantial Charges. This fact is further corroborated by Respondent’s limited production of invoices, which clearly list Laufer as the billed party. If Respondent had no relationship with Laufer, it would not have issued Charges to Laufer in the first place. Respondent’s refusal to acknowledge or describe the basis for this billing relationship is both evasive and prejudicial.

B. Supplemental Interrogatory No. 8: Complainant sought an explanation of whether Respondent’s invoices for demurrage, detention, per diem, and other accessorial charges during the Relevant Period included instructions for disputing those charges. This included identifying the method(s) of contact provided, and the type of documentation or materials required to submit a dispute, as well as whether such instructions were clearly visible on the invoices issued to Laufer, which were then passed on to Complainant’s Predecessors.

Response: Respondent objects to this Interrogatory as exceeding the permissible number of interrogatories. Respondent further objects to this Interrogatory as vague, overly broad and beyond the permissible scope of discovery.

Respondent’s objection that this interrogatory exceeds the permissible number is meritless. On February 12, 2025, Respondent’s counsel emailed Complainant’s counsel raising this issue and requesting that Complainant identify which interrogatories Respondent should answer. Complainant responded the same day, indicating that Supplemental Interrogatory No. 2 (including its subparts) could be excluded from the count, which Complainant believed left its overall interrogatories at a total of 50 interrogatories. Respondent did not raise further objections or seek clarification and, to date, has not provided any supplemental responses based on these communications.

Respondent's remaining objections that the interrogatory is vague, overly broad, or beyond the permissible scope of discovery are also unfounded. The interrogatory clearly asks whether Respondent's invoices included instructions for disputing the Charges—and if so, to describe the method and information required. Complainant provided a detailed damages spreadsheet identifying the relevant container numbers, House and Master Bills of Lading, and the associated Charges at issue. *See Ex. 1*. Respondent has already produced a limited number of the invoices referenced, and based on that production, it is clear that the invoices produced did not contain any visible instructions or guidance on how to dispute the Charges.

Even if Respondent contends that it would be burdensome to review every individual invoice, it can and should at minimum describe its general practice during the relevant time period—namely, whether its demurrage, detention, per diem, and other accessorial invoices issued during 2021–2022 typically included any instructions for how a customer could dispute the Charges. That basic information is both relevant and proportional to the needs of the case and should have been provided.

C. Supplemental Interrogatory No. 14: Complainant sought identification of the specific individuals or entities that paid Respondent for the demurrage, detention, per diem, and other accessorial Charges related to the shipments referenced in the Complaint.

Response: Respondent objects to this Interrogatory as exceeding the permissible number of interrogatories. Respondent further objects to this Interrogatory as vague, overly broad and beyond the permissible scope of discovery. Respondent further objects to this Interrogatory as seeking information already in the Complainants' possession, as Complainants allege that they paid the Charges identified in the Complaint.

Respondent's objection based on the number of interrogatories is addressed above and lacks merit. On February 12, 2025, Complainant's counsel emailed Respondent's counsel regarding this concern and requested clarification. Later that same day, Respondent's counsel asserted that Complainant's supplemental interrogatories and their subparts exceeded the 50-interrogatory limit. In response, Complainant's counsel agreed to withdraw Supplemental Interrogatory No. 2 and its subparts, thereby reducing the total number of interrogatories to 50. Respondent did not raise any further objections or seek clarification, and to date has provided no substantive response to this interrogatory.

Respondent's remaining objections are likewise deficient. It is not a valid basis to withhold information simply because Complainant may have some related documentation in its own possession. Complainant alleges that it paid the Charges imposed by Respondent, which were first invoiced to Laufer and then passed on to Complainant's Predecessors. Complainant further alleges that, upon receiving those payments, Laufer remitted them to Respondent. Whether Respondent received payment for these Charges from Laufer is factual information that lies squarely within Respondent's possession and is not equally available to Complainant. Respondent's own records should clearly reflect who paid each invoice it issued—and it is precisely that information this interrogatory seeks.

This question is not vague, overbroad, or outside the permissible scope of discovery. It is narrowly tailored to identify the parties who paid Respondent for the specific Charges at issue in the Complaint. That information is directly relevant to Complainant's claims, including the flow of funds, the reasonableness of the Charges assessed, and Respondent's own conduct in accepting payment. Respondent is required to provide a complete response—based on records and information available to it under 46 C.F.R. § 502.141(e)—and to produce documentation reflecting

the payments it received from Laufer, as requested in Complainant's Supplemental Request for Production No. 1, which seeks all documents identified in response to any supplemental interrogatory.

D. Supplemental Interrogatory Nos. 10–13, 16

Supplemental Interrogatory No. 10: Complainant sought identification of the specific individuals, departments, or entities within Respondent's organization responsible for assessing and invoicing the Charges related to the shipments at issue.

Response: Respondent objects to this Interrogatory as exceeding the permissible number of interrogatories. Respondent further objects to this Interrogatory as vague, overly broad and beyond the permissible scope of discovery.

Supplemental Interrogatory No. 11: Complainant sought information on whether Respondent had a dedicated department during 2021–2022 for handling disputes related to demurrage, detention, per diem, and other accessorial Charges, and if not, which department or individuals were responsible for processing such disputes sent to the SHAPERDIEM@coscon.com email address referenced in Respondent's response to Complainant's original Interrogatory No. 20.

Response: Respondent objects to this Interrogatory as exceeding the permissible number of interrogatories. Respondent further objects to this Interrogatory as vague, overly broad and beyond the permissible scope of discovery.

Supplemental Interrogatory No. 12: Complainant sought information on whether Respondent had any internal guidelines or criteria in place during 2021–2022 for determining whether to reduce or waive demurrage, detention, per diem, or other accessorial Charges upon receiving dispute claims, and if so, to describe those standards. If no such criteria existed, Complainant requested an explanation of how such decisions were made.

Response: Respondent objects to this Interrogatory as exceeding the permissible number of interrogatories. Respondent further objects to this Interrogatory as vague, overly broad and beyond the permissible scope of discovery.

Supplemental Interrogatory 13: Complainant sought a detailed explanation of whether Respondent considered the extraordinary congestion and equipment shortages during 2021–2022 when assessing demurrage, detention, per diem, and other accessorial Charges. This included identifying any accommodations made, related guidelines or reports, and how such considerations were communicated to customers.

Response: Respondent objects to this Interrogatory as exceeding the permissible number of interrogatories. Respondent further objects to this Interrogatory as vague, overly broad and beyond the permissible scope of discovery.

Supplemental Interrogatory No. 16: Complainant sought clarification of Respondent's responsibility, under CY-to-CY or other transportation arrangements, to ensure container accessibility during the Last Free Day period. Complainant also requested that Respondent describe any relevant policies or contractual terms that define or disclaim that responsibility.

Response: Respondent objects to this Interrogatory as exceeding the permissible number of interrogatories. Respondent further objects to this Interrogatory as vague, overly broad and beyond the permissible scope of discovery.

Respondent objected to each of these interrogatories on the ground that they exceeded the permissible number of interrogatories. However, on February 12, 2025, Complainant's counsel emailed Respondent's counsel regarding this concern and requested clarification. Later that same day, Respondent's counsel asserted that Complainant's supplemental interrogatories and their subparts exceeded the 50-interrogatory limit. In response, Complainant's counsel agreed to

withdraw Supplemental Interrogatory No. 2 and its subparts, thereby reducing the total number of interrogatories to 50. Respondent did not raise any further objections or seek clarification, and to date has provided no substantive responses to the remaining supplemental interrogatories.

Respondent's additional boilerplate objections—that the interrogatories are vague, overly broad, or beyond the permissible scope of discovery—are entirely unsupported. Respondent fails to explain what makes these requests vague or overly broad, or how they exceed the scope of discovery under 46 C.F.R. § 502.141(e). Each interrogatory is directly tied to the central issues in this proceeding: how Respondent assessed demurrage, detention, per diem, and other accessorial Charges during 2021–2022, how disputes were processed, and whether extraordinary congestion and equipment shortages were taken into account.

These are not abstract or speculative topics. They go to the core of Complainant's claims that the Charges were unreasonable and imposed without regard to whether the parties responsible for retrieving the cargo had the ability to do so within the allotted Last Free Day period. The requested information is squarely relevant and reasonably tailored, and Respondent should be compelled to respond in full under its obligations pursuant to 46 C.F.R. § 502.141(e).

IV. Argument.

Pursuant to 46 C.F.R. § 502.150, a party may move for an order compelling discovery where an opposing party fails to make a disclosure, answer, or response—including evasive or incomplete ones. As demonstrated above, Respondent has failed to provide adequate responses to numerous interrogatories and has not produced key categories of documents critical to Complainant's claims. Many of the objections asserted by Respondent are unsupported and boilerplate. These deficiencies have prejudiced Complainant by obstructing its ability to fully develop the factual record. Accordingly, the Presiding Officer should compel Respondent to

respond fully to the discovery requests identified in this motion by a reasonable and prompt deadline.

CONSULTATION

As noted above, Complainants sent a list of deficiencies to Respondent on multiple occasions, but Respondent has failed to cure these deficiencies. *See* Certificate of Attempt to Confer (**Exhibit 2**) regarding Complainant's multiple attempts to confer with Respondent's counsel. Additionally, pursuant to 46 C.F.R. § 502.150(b), Complainant attaches as **Exhibit 3** and **Exhibit 4** the discovery requests at issue, Respondent's responses, and the certificate of service that accompanied those requests.

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons, Complainant respectfully requests that the Presiding Officer issue an order requiring Respondent to: (1) Produce all documents responsive to Complainant's requests for production to which Respondent has objected or failed to produce any documents; (2) Provide complete and substantive responses to Complainant's First and Supplemental Sets of Interrogatories noted in this Motion; and (3) For those requests where Respondent has made only partial productions, either produce all remaining responsive documents or provide a detailed explanation of the efforts undertaken to locate such documents and why no further responsive material could be found.

Dated: April 11, 2025

Respectfully jointly submitted,

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CERTIFICATE OF SERVICE

I certify that on April 11, 2025, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502.

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